TEST CODE **01239020**

FORM 2006124

MAY/JUNE 2006

CARIBBEAN EXAMINATIONS COUNCIL

SECONDARY EDUCATION CERTIFICATE EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 02 – General Proficiency

3 hours

23 MAY 2006 (a.m.)

1. **Answer ALL the questions in Section I and TWO questions from Section II.**
2. **Begin EACH answer on a separate page.**
3. **Keep ALL parts of EACH answer together.**
4. **Silent electronic calculators may be used, but ALL necessary working should be clearly shown.**
5. **Each question is worth 20 marks.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

Copyright © 2005 Caribbean Examinations Council ®.
All rights reserved.

SECTION I

Answer the THREE questions in this section.

1. Armstrong and Barnett are in partnership, sharing profits in the same proportion as their capital. Interest on the capital is to be paid at the rate of 10 per cent per annum. Armstrong is to receive a salary of $3 000 per annum. No interest is allowed or charged on drawings or current account balances.

The following is the Trial Balance of Armstrong and Barnett as at December 31, 2005.

	$	$
Capital Account (Armstrong)		40 000
Capital Account (Barnett)		60 000
Current Account (Armstrong)	10 000	
Current Account (Barnett)		7 000
Drawings (Armstrong)	12 000	
Drawings (Barnett)	5 000	
Buildings	153 000	
Fixtures and Fittings	30 000	
Motor Vehicles	80 000	
Gross Profit		230 000
Debtors and Creditors	70 000	60 000
Operating Expenses	55 000	
Goodwill	80 000	
Provision for Depreciation (Motor Vehicles)		40 000
Provision for Depreciation (Buildings)		20 000
Bank Overdraft		3 000
Loan at 15%		35 000
	495 000	495 000

GO ON TO THE NEXT PAGE

The following information is to be taken into account:

- Depreciation on motor vehicles is to be provided at the rate of 12 per cent per annum.
- Depreciation on buildings is to be provided at the rate of 10 per cent per annum.
- The interest on the loan has not been paid.
- A provision for bad debts is to be made at the rate of 5 per cent.

Required:

(a) Prepare a Profit and Loss and Appropriation Account for the partnership, for the year 2005. **(Please note that you are not required to do a Trading Account.)** **(9 marks)**

(b) Prepare the Current Accounts for the partners. **(5 marks)**

(c) Prepare the Balance Sheet as at December 31, 2005. **(Do not show details of the current accounts of the partners in the Balance Sheet.)** **(6 marks)**

Total 20 marks

2. (a) The Cash Book of L. Tracey at February 28, 2006, showed a debit balance of $10 030. On comparing the Cash Book with the Bank Statement, the following differences were observed:

- A cheque paid to a creditor for $ 1 894 was entered in the Cash Book as $1 984
- Direct credits received by the bank but not entered in the Cash Book amounted to $500
- Bank charges not entered in the Cash Book amounted to $194
- A standing order of $36 for insurance premiums was not entered in the Cash Book
- Unpresented cheques amounted to $6 936
- Bank deposits not credited by the bank amounted to $548
- Cheques returned by the bank marked "refer to drawer" were not adjusted in the Cash Book and amounted to $112

Use the information above to:

(i) update the Cash Book **(6 marks)**

(ii) prepare a Bank Reconciliation Statement **(5 marks)**

(b) M. Martin commences business on January 1, 2002. His debtors at

December 31, 2003, were $15 000
December 31, 2004, were $12 000
December 31, 2005, were $14 000

A provision for bad debts of 5 per cent is to be created on debts at the end of each year.

Use the information above to answer the following questions.

(i) Show the Provisions for Bad Debts Account for EACH of the three years. **(7 marks)**

(ii) Show the extracts from the second year's Balance Sheet. **(2 marks)**

Total 20 marks

3. (a) Prepare the journal entries with appropriate narrations, for EACH of the following situations. The date to be used for each case is December 31, 2005.

(i) A receipt of $2 300 from M. Ramadan was recorded in error to the account of M. Ramteet. Show the correction of the error in the journal entry.

(ii) Office fixtures costing $1 700 previously bought from Office Fixtures Unlimited were returned to them as the wrong order.

(iii) K. Shivnaraine's debt of $2 000 was written off as a bad debt six months ago. Recently, the business received a cheque from him for $2 000 with a note attached "in full settlement of debt".

(iv) The sale of used computers valued at $40 000 cash was recorded in the Sales Account. Show the correction of the error in the journal entry.

(v) Discounts allowed to customers for the total sum of $300 were credited to the Discount Received Account. Show the correction of the error in the journal entry.

(11 marks)

(b) Use the relevant information from the data below to prepare EITHER accounts OR statements to show the amount for **total** purchases and sales for the period.

		May 30, 2005	**May 30, 2006**
		$	**$**
Debtors		3 219	3 388
Creditors		1 842	1 891
Cash received from debtors	$24 264		
Cash paid to creditors	$18 624		
Cash purchases	$5 780		
Cash sales	$12 320		

(9 marks)

Total 20 marks

SECTION II

Answer any TWO questions in this section.

4. Sport Art makes frames for pictures of sports events mainly out of wood and metal strips. They employ both wood workers and metal workers. On June 30, 2005, the following information was extracted from its records.

		$
Purchases:	Wood pieces	16 800
	Metal strips	1 300
	Sports pictures	15 300
Stock at start:	Wood pieces	1 400
	Metal strips	200
	Work-in-progress	800
	Finished framed pictures	6 000
Stock at close:	Wood pieces	1 500
	Metal strips	300
	Work-in-progress	1 000
	Finished framed pictures	9 000
Factory wages –	Wood workers	27 000
	Metal workers	12 000
Rent (Factory 2/3; Office 1/3)		6 000
Insurance on equipment		700
Foreman's salary		10 000
Other factory expenses		2 100
Sales		122 200
Selling expenses		8 000

Additional information:

– Factory equipment valued at $32 000 is to be depreciated at the rate of 10% per annum.

(a) **Using the answer sheet provided as a guide**, prepare the Manufacturing Account for Sport Art for the year ended June 30, 2005, to clearly show the following:

- Prime Cost of Wood Used
- Prime Cost of Metal Used
- Total Prime Costs
- Total Factory Overheads
- Production Cost transferred to Trading Account **(12 marks)**

(b) Prepare the Trading and Profit and Loss Account for Sport Art for the year ended June 30, 2005, to clearly show the following:

- Cost of Goods Sold
- Gross Profit
- Net Profit **(8 marks)**

Total 20 marks

5. (a) The following Balance Sheet of Price Rite Ltd. has several errors in the way it is presented. Redraft the Balance Sheet using the **VERTICAL** style, ensuring that sections of the Balance Sheet are clearly marked with appropriate headings.

Balance Sheet
Price Rite Ltd.
as at December 31, 2005

Assets	**$**	**$**	**Liabilities**	**$**
Stock		21 500	Creditors	25 000
Land and Buildings	150 000		6% Debentures	20 000
Less Depreciation	30 000	120 000	Proposed Ordinary Dividend	9 000
Debtors	54 500		**Authorized Share Capital**	
Less Provisions for bad debts	2 725	51 775	20 000 7% preference shares of $1 each	20 000
Cash in hand		700	125 000 ordinary shares of $1 each	125 000
Investments		8 000	General Reserve	31 000
Equipment	15 000		**Issued Share Capital**	
Less Depreciation	6 000	9 000	20 000 7% preference shares of $1 each	20 000
Cash at Bank		5 500	90 000 ordinary shares of $1 each	90 000
Motor Vehicles	7 500		Proposed Preference Dividend	700
Less Depreciation	3 750	3 750	Profit and Loss Account	23 925
			Debenture Interest Owing	600

(19 marks)

(b) What is the meaning of the "7%" placed in front of Preference Shares and the "6%" placed in front of Debentures? **(1 mark)**

Total 20 marks

6. The following receipts and payments account for the year ended December 31, 2005, for the Kingstown Domino Club, has been prepared by the club's treasurer.

	$		$
Opening bank balance	1 752	National Domino Tournament:	
Refreshment sales	3 368	Purchase of tickets	7 200
National Domino Tournament:		Purchase of refreshments	3 800
Ticket sales	800	Purchase of domino sets for club	3 000
Sale of some old tables	7 600	Purchase of tables for club	7 800
Subscriptions received	14 380	Fees paid to coach	2 000
Closing bank balance	540	Rental of premises	1 000
		Purchase of magazines	980
		Secretarial expenses	1 880
		Cleaning expenses	780
	28 440		28 440

The following additional information is available:

	As at Jan 1, 2005	**As at Dec 31, 2005**
	$	**$**
Land owned by club	10 000	10 000
Stock of refreshments, at cost	500	1 120
Debtors for tables sold	800	
Subscriptions received in advance	480	780
Creditors: refreshment supplies	1 820	1 020

Tables are to be depreciated at 10 per cent per annum.

(a) (i) Prepare a Statement of Affairs to show the club's accumulated fund as at January 1, 2005. **(6 marks)**

(ii) Prepare the club's Refreshment Account. **(3 marks)**

(iii) Prepare the club's Income and Expenditure Account for the year ended December 31, 2005. **(8 marks)**

(b) If a Balance Sheet were prepared for the club as at December 31, 2005, where would the following items be recorded?

(i) Closing bank balance

(ii) Subscriptions in advance

(iii) Surplus/Deficit **(3 marks)**

Total 20 marks

7. The following is the summary final accounts of Maxie's, a trader.

Maxie's

Trading and Profit and Loss Account for the year ended June 30, 2005.

	$	$
Sales		154 610
Less cost of sales		
Opening stock	680	
Purchases	81 070	
	81 750	
Closing stock	(810)	80 940
Gross Profit		73 670
Expenses	37 830	
Depreciation	3 620	
Provision of bad debts	1 860	
Interest on loan	500	43 810
Net Profit		29 860

Maxie's

Balance Sheet as at June 30, 2005.

	$	$	$
Fixed assets (at cost $22 890)			10 060
Current Assets			
Stock		810	
Debtors		4 330	
Prepayments		1 350	
Cash at bank		8 370	
Cash in hand		150	
		15 010	
Less Current liabilities			
Sundry expenses	200		
Loan interest	500	700	14 310
Net current assets			24 370
Loan			10 000
			14 370
Capital (July 1, 2004)			21 110
Add profit			29 860
			50 970
Less drawings			36 600
			14 370

GO ON TO THE NEXT PAGE

(a) **Use the statements given** to calculate the following ratios. (Show your workings.)

(i) Current ratio

(ii) Acid test

(iii) Return on capital invested

(iv) Rate of stock turnover

(v) Net profit percentage **(10 marks)**

(b) Use the Trading and Profit and Loss Account and the Balance Sheet where applicable, to answer the following questions:

(i) Give another term for "net current assets" as indicated on the Balance Sheet.

(ii) Why does loan interest of $500 appear on the Balance Sheet even though it is recorded in the Profit and Loss Account?

(iii) What does a "good" current ratio indicate?

(iv) What is the term used for the fixed asset amount of $10 060?

(v) It can be reasonably assumed that Year 2005 is not the first year depreciation has been charged on fixed assets. Why is this assumption correct?

(c) Indicate whether the following statements are **True** or **False**:

(i) An acid test ratio of 1:5 is good.

(ii) A current ratio of 2:4 is **not** good.

(iii) The purchase of fixed assets is a capital expenditure.

(iv) Prepayments should be charged against profits for the current period.

(v) Bad debts is written off in the Profit and Loss Account, and then subtracted from the debtors amount in the Balance Sheet. **(10 marks)**

Total 20 marks

END OF TEST

Answer Sheet to be used as a guide for Question 4.

Candidate Number: .....

Centre Number: .....

Sport Art

Manufacturing Account

For the period ended June 30, 2005

	Wood	Metal	Total
	$	$	$